CHAPTER 4

PLANNING

CHAPTER ESSENCE AT A GLANCE:
Decide in advance what to do and how to do it: bridging the gap from where we are to where we want to go, planning process milestones, inherent limitations, and single-use vs standing plans.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Planning as Foundational Function:** Planning bridges the gap from where we are to where we want to go by setting objectives, formulating alternatives, and selecting the most optimal course of action.

• **Sequential Planning Process:** Seven standard steps: Setting Objectives, Developing Planning Premises (assumptions about future), Identifying Alternative Courses, Evaluating Alternatives, Selecting an Alternative, Implementing the Plan, and Follow-up Action.

• **Inherent Planning Limitations:** Planning leads to rigidity, may not work in dynamic environments, reduces initiative and creativity of lower staff, involves huge cost, and does not guarantee success.

• **Types of Plans Taxonomy:** Single-use plans (programmes and budgets designed for non-recurring situations) versus Standing plans (objectives, strategies, policies, procedures, rules, methods designed for recurring activities).

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Planning Gap Bridge} \iff \text{Current State (Today)} \xrightarrow{\text{Formulated Strategic Plan}} \text{Desired Target (Future)}$$

Fundamental Organizational Bridge Concept

$$\text{Planning Workflow Pipeline} = \text{Objectives} \rightarrow \text{Premises} \rightarrow \text{Alternatives} \rightarrow \text{Selection} \rightarrow \text{Action}$$

Standard 7-Step Planning Process Cycle

$$\text{Types of Plans} = \text{Standing Plans (Policies, Rules)} + \text{Single-Use Plans (Budgets, Programmes)}$$

Enterprise Plan Operational Classification

$$\text{Budget Specification} \iff \text{Numerical Expression of Planned Results for a Definite Period}$$

Quantified Financial Planning Model

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Developing premises means establishing assumptions about the future environment; it is the second step in the planning process, coming after setting objectives.

• **Alert:** A Rule is a rigid guide to action with zero discretion (e.g. 'No Smoking'); a Policy is a flexible general guide for decision-making (e.g. 'Credit policy').

• **Alert:** Planning does not guarantee business success; an expertly prepared plan is completely useless if not executed dynamically in response to market shifts.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Define Planning. State any two features of planning. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** Deciding in advance what to do, how to do it, when to do it, and who is to do it, bridging the gap between present position and desired future. [1 Mark]

• **Features:** (1) Primary function of management, (2) Pervasive across all departments and levels. [1 Mark]

2. Distinguish between a Rule and a Policy across two key parameters. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Discretion:** A Rule allows zero personal discretion, requiring strict compliance; a Policy is a flexible broad guide that permits managerial discretion. [1 Mark]

• **Penalty:** Violation of a Rule attracts explicit penalties or disciplinary action; violation of a Policy does not automatically attract penalties. [1 Mark]

3. Explain the importance of Planning in an enterprise by detailing any three advantages. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Provides Direction:** Clarifies goals so employees understand what the organization wants to achieve and how their efforts contribute. [1 Mark]

• **Reduces Risk of Uncertainty:** Anticipates future changes and prepares proactive countermeasures rather than reactive panic. [1 Mark]

• **Establishes Standards for Controlling:** Sets specific benchmarks against which actual performance is measured to detect deviations. [1 Mark]

4. State any three internal limitations of Planning. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Leads to Rigidity:** Inflexible plans force managers to follow predetermined courses even when market realities have changed. [1 Mark]

• **Reduces Creativity:** Lower-level staff and supervisors must blindly implement plans designed by top executives, stifling employee initiative. [1 Mark]

• **Involves Huge Costs and Time:** Extensive forecasting, gathering statistical data, and board meetings consume significant money and time. [1 Mark]

5. Explain what is meant by Developing Premises in the planning process. Why is forecasting critical at this step? [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Meaning:** Developing premises means making assumptions about the future environment (inflation, demand, tax policies, competitor actions). [1.5 Marks]

• **Forecasting Role:** Since the future is uncertain, accurate forecasts ensure that the plan is constructed upon realistic factual probabilities rather than wild guesses. [1.5 Marks]

6. Distinguish between a Single-Use Plan and a Standing Plan with one example of each. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Single-Use Plan:** Formulated to handle a unique, non-recurring situation or specific project and discarded once completed (e.g. Budget or Event Programme). [1.5 Marks]

• **Standing Plan:** Formulated to provide guidance for activities that recur regularly over a long period of time (e.g. Recruitment Policy or Safety Rules). [1.5 Marks]

7. Explain the major steps involved in the Planning Process in sequential order. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Step 1 & 2:** Setting Objectives (specifying organizational targets) and Developing Premises (assumptions regarding future conditions). **[1 Mark]**

• **Step 3 & 4:** Identifying Alternative Courses of Action and Evaluating Alternatives against feasibility, costs, and expected returns. **[1 Mark]**

• **Step 5:** Selecting an Alternative (choosing the most optimal and profitable plan with fewest negative consequences). **[1 Mark]**

• **Step 6 & 7:** Implementing the Plan (putting plan into operational action) and Follow-up Action (monitoring execution against targets). **[1 Mark]**